

Speech of Dr. N. Marie Wilson, Minister for Finance, Planning and Development, Government of Tamil Nadu, presenting the Revised Budget Estimates for the year 2026-27 to the Legislative Assembly on 5th August 2026.

Hon'ble Speaker,

Paying my deep respects to our ideological leaders — Thanthai Periyar, Perunthalaivar Kamarajar, Annal Ambedkar, Rani Velu Nachiyar and Makkal Sevagar Anjalai Ammal — I feel immense joy and pride in presenting the Revised Budget Estimates for the year 2026-27 before this august Assembly, that holds the glorious legacy of being graced by great people centric leaders like Perunthalaivar Kamarajar, Perarignar Anna and Makkal Thilagam M.G.R., who governed democratically with unwavering focus on public welfare and guide us through governance and administration even to this day. I also offer my heartfelt gratitude to our Hon'ble Chief Minister, the beloved leader of the people, who entered public life solely to pay back the debt of gratitude to the people who gave him everything. He overcame numerous conspiracies to win a historic victory, for the sake of the people he loves as his own life and for the people who love him

as their own, and today he sits in this House as a true '**Jananayagan**'. He constantly guides us, offers counsel, and works tirelessly with the sole thought of delivering good governance to the people of Tamil Nadu. I express my heartfelt gratitude to this leader cherished by the people. I begin my address before this esteemed House with the timeless words of Thiruvalluvar, the supreme son, who gifted us the sacred Tamil scripture, Thirukkural:

“பிறப்பொக்கும் எல்லா உயிர்க்கும் சிறப்பொவ்வா

செய்தொழில் வேற்றுமை யான் ”

(குறள் - 972)

“All are equal by birth; distinctions arise only from the deeds each performs”.

(Kural-972)

2. Guided by the noble principle that, 'All are equal by birth,' our Hon'ble Chief Minister, who has achieved numerous accomplishments within just three months of assuming office and has earned an enduring place in the hearts of the people, living in every household as a son, an elder brother, a younger brother, their very life, their kin and their every emotion. He is implementing many beneficial schemes for the people of Tamil Nadu who reside in his heart.

3. Our Hon'ble Chief Minister has brought about a massive people's revolution hitherto unseen in the political history of Tamil Nadu. This Government, founded on the great ideals of inclusive growth, social justice, equality, women's safety, eradication of poverty, a drug-free Tamil Nadu, and a corruption-free, honest and transparent administration, has not only spoken of these ideals over the last three months, but has also demonstrated them through action. The people of Tamil Nadu have increasingly come to recognise that, this is a Government built on the enduring principles of genuine social justice and honest governance.

4. This Government, under the leadership of the Hon'ble Chief Minister, has recorded significant accomplishments across various sectors since assuming office: increasing the free electricity provided to consumers with bi-monthly consumption of up to 500 units, to 200 units and reducing their household expenses; a loan waiver for farmers through co-operative societies; a special package for Kuruvai cultivation; the '**Singapenn Special Task Force**' for women's safety; creation of **Anti-Narcotics Task Force Units** at the district level to root out the deep-seated drug culture in Tamil Nadu; **closure of 717 liquor retail outlets**

located near educational institutions, places of worship and bus stands that disrupted daily public life; and the '**Thaaimaaman Thanga Mothiram Thittam**', to be implemented from 15th September, the birth anniversary of Perarignar Anna, for children born in Government Hospitals. The implementation of these schemes have reinforced the trust that people have placed in our Government.

5. The victory of the Tamilaga Vettri Kazhagam is not merely the victory of a political party; it is the victory of the entire people of Tamil Nadu. Guided by this belief, and with the objective of implementing several welfare schemes for the benefit of the people, our Government, anchored in the core principles of Aram (Virtue), Porul (Prosperity) and Inbam (Well-being), has released the '**Vetri Tamizhagam – Vision Document**', comprising ten key focus areas. Drawing on this document, the Government is identifying, formulating and operationalising programmes to be implemented over the next one, three and five years. This Government is committed to making the necessary social, economic and human capital investments in Tamil Nadu — which has for many years been a leading State on several socio-economic indicators in India — into a poverty-free, prosperous State that offers equal

opportunity to all and upholds social justice, and to propel the State into a 1.5 Trillion dollar economy by the year 2036.

6. Taking this vision forward, the Government will implement the schemes listed in the Vetri Tamizhagam Vision Document, covering sectoral priorities which *inter alia* include empowering women, improving governance, providing housing for all, ensuring safe drinking water, generating sustainable livelihood opportunities, protecting social justice and promoting green cover. The first budget of this Government would lay the foundation for realising these visionary programmes.

7. Immediately upon assuming office, our Government released the 'White Paper on Financial Management' clearly indicating that Tamil Nadu's debt has doubled over the past five years, reaching about Rs.10 lakh crore. Further, Tamil Nadu has recorded fiscal indicators that trail behind other peer States, including State's Own Tax Revenue as a proportion of Gross State Domestic Product (GSDP), Revenue Deficit and Fiscal Deficit. Interest payments and committed liabilities as proportion of the State's Total Revenue Receipts, have been rising consistently,

leaving limited fiscal space for new schemes and programmes.

8. In these challenging circumstances, this Government, having been elected by the people, is working on fulfilling its commitments to the public in a phased manner, while also taking various measures to recover the State from tight fiscal position. Firstly, the practice of requiring mandatory submission of unnecessary certificates by contractors in public tenders that had made tenders non-competitive; has now been abolished by this Government, thus bringing transparency to tendering process. Secondly, Government has discontinued the prevailing system of restricting tender eligibility to department's own registered contractors; and now, contractors registered with any Government department may bid for tenders issued by any other department, subject to the prescribed pre-qualification criteria. Thirdly, to encourage young entrepreneurs and small businesses to bid for Government tenders for the first time, eligibility criteria for low-value procurements have been relaxed, giving new and emerging contractors easier access to Government tenders. The resulting increase in competition is expected to bring greater efficiency to procurement and reduce fruitless expenditure. I am happy to inform this distinguished

House that these initiatives have already begun to yield positive results, delivering significant cost savings for the State.

9. Before our Government had assumed office, a significant portion of tender's estimates were being cornered by few individuals and certain political parties. Our Hon'ble Chief Minister has achieved an unparalleled milestone by resolutely putting a complete end to this practice. He has also changed the earlier procedure of approval at the Government's level for planning permission for multi-storied and high-rise apartment buildings. These approvals can now be obtained from Chennai Metropolitan Development Authority itself by delegation of powers, thereby eliminating the corruption that prevailed in the earlier process. Our Hon'ble Chief Minister remains steadfast in his resolve: "**We will not touch a single paisa of the people's tax money. We will not allow anyone to touch it. If touched, we will not spare them. And we will not spare those who have touched it in the past**". He stands unshakeable in this resolve and seeing him and hearing his name, we witness corrupt individuals fleeing in fear every day.

10. While establishing transparency and integrity in tenders and project approvals, our Government is now also undertaking various measures for additional revenue mobilisation. As part of these efforts, Government has recently levied an additional privilege fee on liquor manufacturers. This is expected to mobilise an additional annual revenue of up to Rs.1,000 crore to the exchequer. Government is also leveraging Information Technology through initiatives such as 'Faceless Assessment' under the Goods and Services Tax, 'Faceless Registration' in the Registration Department and end-to-end computerisation in monitoring mining activities. These initiatives are together expected to generate additional revenue of approximately Rs.15,000 crore for the Government that will enable the implementation of many welfare schemes successfully.

11. To achieve growth in revenue receipts in tandem with economic growth, to expand revenue streams sustainably and to suggest measures to increase the State's tax and non-tax revenue, the Government has recently constituted an expert committee on '**Revenue Augmentation**', headed by former Deputy Chairperson of Union Planning Commission, Thiru. Montek Singh Ahluwalia, along

with five other members. Through this Committee, Government aims to strengthen the State's fiscal autonomy and generate the financial resources necessary to fulfil its socio-economic development commitments.

School Education

12. கேடில் விழுச்செல்வம் கல்வி யொருவற்கு

மாடல்ல மற்றை யவை

(குறள்-400)

Learning is excellence of wealth
that none destroy; To man nought
else affords reality of joy

(Kural-400)

Education alone is the finest and indestructible wealth for an individual. Our Hon'ble Chief Minister have honoured those individuals who possess the great wealth of education through certificates of merit and scholarship. The Government, under the leadership of our Hon'ble Chief Minister, administers Government schools in which more than 43 lakh students are enrolled. Ensuring a clean and safe learning environment in these schools is essential for quality education and the well-being of students. Currently, there is no integrated system in place to provide professional cleaning and security services in

Government schools. Taking this into consideration, the Government is set to implement the '**Super Clean Super Campus**' Scheme. Under this scheme, daily cleaning activities, maintenance of drinking water facilities and toilets, and 24-hour security for school campuses will be ensured, delivering Super Safety, Super Students and Super Campuses under our Super CM's governance. This scheme will be implemented in 10,000 schools in the first phase, with an allocation of Rs.139 crore in the Revised Budget Estimates for 2026-27.

13. This is a Government led by our Hon'ble Chief Minister, the beloved Thaa Maaman of the children of Tamil Nadu. This Thaa Maaman and his Government recognise that quality educational institutions are just as essential as quality education itself for the children of Tamil Nadu. With the objective of modernising Government schools across Tamil Nadu and providing the necessary infrastructure facilities based on recommended norms, '**Palli Niraivu Thittam**' will be introduced. This scheme will cover a total of 3,734 schools, including 2,514 primary schools, 365 middle schools, and 855 high and higher secondary schools, at an estimated cost of Rs.2,132 crore. An amount

of Rs.300 crore is allocated for this scheme in the Revised Budget Estimates.

14. With the objective of providing quality education to academically talented students from socio-economically disadvantaged backgrounds, the Government will establish '**Perunthalaivar Kamarajar Schools of Excellence**' as modern residential institutions. These schools will cater to students from Classes IX to XII and will provide education, food, boarding, textbooks and uniforms free of cost. An amount of Rs.125 crore is allocated for the infrastructure development of these schools in the Revised Budget Estimates.

15. In a rapidly changing, globalised technological era, it is imperative that the school education curriculum be reimagined as experiential, inquiry-based, holistic, futuristic and competency-driven. A dynamic and progressive curriculum that focuses on critical thinking, creativity, financial literacy, gender equality, environmental awareness, digital competence, preparedness for competitive examinations and global citizenship is necessary to prepare future-ready children. To make Tamil Nadu a leader in learning outcomes, **an amount of**

Rs.25 crore is being allocated towards revision of the School Education Curriculum.

16. **"Say No to Drugs"** has been the unwavering message of our Hon'ble Chief Minister, who has consistently urged the youth to **"Choose Sports over Drugs,"** recognising that the vision of a drug-free Tamil Nadu must begin in our schools. In keeping with the timeless wisdom of Avvaiyar's Aathichudi, **"Ilamaiyil Kal,"** children must be made aware from an early age of the dangers of narcotic drugs and psychotropic substances, alongside preventive education against substance abuse. Accordingly, Anti-Drug Clubs and student volunteer groups will be established in schools as part of this initiative. To strengthen awareness and facilitate timely reporting, the 10581 helpline number will be prominently displayed on all school campuses. Further, the Government has developed the **'Drug-Free Tamil Nadu'** mobile application, enabling students and teachers to confidentially and securely report information relating to drug trafficking and substance abuse. An amount of Rs.7 crore has been allocated for the implementation of this initiative.

17. With the aim of transforming Tamil Nadu's Public Libraries into state-wide digital libraries that function as learning and innovation hubs — featuring digital knowledge, universal membership, 24x7 internet and mobile access, digital content, free Wi-Fi, and co-working spaces at the 38 district central libraries — this Government allocates Rs.10 crore towards the redesign of Public Libraries.

18. **Modern, branded bicycles** equipped with helmets and water bottles will be provided to approximately 5.32 lakh Gen-Z students studying in Class XI across Government and Government-aided schools in the current academic year. An estimated amount of Rs.277 crore is allocated towards this scheme. Our Hon'ble Chief Minister, deeply loved by Gen-Z, is firmly committed to nurturing them into a finest generation. This scheme reflects his vision and commitment.

19. In the Revised Budget Estimates, Rs.44,527 crore has been allocated to the School Education Department.

Higher Education

20. Tamil Nadu strongly opposes the NEET examination. Various irregularities and question paper

leaks in the NEET examination at the national level have severely affected the higher education prospects of the next generation. The Government of Tamil Nadu therefore urges the Union Government to immediately cancel the NEET examination system and revert to medical education admissions based on the earlier system of Class XII public examination marks.

21. A laptop has become an indispensable information technology device for students pursuing higher education. In today's rapidly advancing digital era, laptops are invaluable assets for students to sharpen their technical expertise, undergo skill development training, and make effective use of their time. Recognising this, our Government will implement the '**Vetri Laptop Scheme**' for college students. With an allocation of Rs.2,000 crore, this initiative aims to equip students with laptops as an essential learning resource.

22. Guided by the timeless wisdom of Naaladiyar, "**Knowledge is boundless, learning time is short,**" it is our solemn duty to ensure that no student's learning is constrained by the unaffordability of decent accommodation. To transform student accommodation across the State, our Government will establish the '**Tamil Nadu**

Student Housing & Infrastructure Corporation' (TNSHIC) as a dedicated Special Purpose Vehicle, with an initial equity infusion of Rs.10 crore. Under the flagship **'TN-SUDAR'** (State Upgradation, Development and Advancement of student Residences) initiative, we will construct 200 Integrated Student Hostels delivering 1 lakh modern beds across major educational hubs. This project will be executed through a de-risked Public-Private Partnership (DBFOT) model, with an estimated capital outlay of Rs.3,200 crore, supported by a 20 per cent State Capital Construction Grant of Rs.640 crore, phased over the next two fiscal years. It will replace segregated housing with integrated, high-amenity campuses featuring fully air-conditioned study hubs, 24x7 security, hygienic kitchens and an automated allocation framework designed to ensure diversity and social parity. In the years to come, TN-SUDAR will help integrate youth across diverse communities and faiths.

23. A specialised Government Law College, offering advanced legal education on par with a School of Excellence in Law, will be established in the academic year 2027-28 at Madurai, with an intake of 300 students. In the Revised Budget Estimates,

Rs.8,393 crore has been allocated to the Higher Education Department.

Labour Welfare and Skill Development

24. To reduce the demand on petroleum based products and to help reduce environmental pollution, mechanics who currently service fossil-fuel-based vehicles, will be trained in the maintenance of electric vehicles and batteries, enabling them to service it well. Over the period of next five years, 22,500 persons, including 12,500 mechanics currently servicing fossil-fuel-based vehicles, will benefit under this scheme. An amount of Rs.3 crore has been allocated for this scheme in the current financial year.

25. With the aim of enabling Tamil Nadu youth to secure emerging global job opportunities, a new trade in Artificial Intelligence and Machine Learning will be introduced in Government Industrial Training Institutes at an estimated cost of Rs.10 crore. This trade will be introduced in 50 Industrial Training Institutes over a period of five years, at the rate of 10 institutes per year. Through this initiative, 24,000 students will receive training and employment opportunities in Artificial Intelligence technology over five years. Further, five new Industrial Training Institutes will be established in Tamil Nadu at a total

estimated cost of Rs.90 crore, for which an amount of Rs.7.5 crore has been allocated in the Revised Budget Estimates.

26. Coaching classes are currently being conducted for various competitive examinations notified by State Government recruitment Boards, through District Employment and Career Guidance Centres. These classes will now be extended to examinations conducted by the Staff Selection Commission (SSC), Railway Recruitment Board (RRB) and Institute of Banking Personnel Selection (IBPS). An allocation of Rs.3.38 crore is being made to conduct these additional coaching classes through all District Employment and Career Guidance Centres.

27. To ensure that the youth of Tamil Nadu are equipped with cutting-edge skills that make them employable and develop entrepreneurial interest, this Government will introduce the '**Vetri Skill Training Scheme**'. Under this scheme, the Government will provide industry-aligned skilling to 12 lakh college students and 1 lakh unemployed youth in this year. In addition, internship training programmes will be provided in collaboration with Government and private industries to 20,000 youth in the first phase. During the internship training period,

graduates and those with vocational education qualifications will receive a monthly stipend. Priority under this scheme will be given to youth from families without permanent employment. A sum of Rs.150 crore is being allocated towards the implementation of this scheme.

28. Recognising Artificial Intelligence as a pivotal driver of future economic growth and technological innovation, our Government is determined to position Tamil Nadu at the forefront of this digital transformation. To ensure our youth become the primary beneficiaries of this technology-driven revolution, I am pleased to announce the launch of the **AI Industry Development Program**. Under this programme, an expert committee of academic and industry leaders will curate specialised AI curricula tailored to higher education tiers. By leveraging state-of-the-art training infrastructure and strategic partnerships with premier institutions such as IIT Madras, we aim to skill and empower 5 lakh youth across engineering colleges, polytechnics and ITIs by 2031, building a world-class, future-ready workforce.

29. In an era where Artificial Intelligence, Robotics and other emerging technologies are

transforming the world, the **Tamil Nadu School Programme for Artificial Intelligence, Robotics and Knowledge of online tools (TN SPARK)** will be expanded to advance this vision. The programme will be extended during 2026-27 from the existing 5,000 Government schools to additional 2,600 schools. Under the newly restructured three-tier framework, students of Classes 6 to 8 will be introduced to the fundamentals of these emerging technologies; students of Classes 9 and 10 will receive intermediate-level training; and students of Classes 11 and 12 will be offered specialised elective courses. This initiative will directly enable students to innovate, develop leadership capabilities and strengthen Tamil Nadu's position in the global knowledge-driven economy.

30. In the Revised Budget Estimates, Rs.2,022 crore is being allocated for the Labour Welfare and Skill Development Department. Further, Rs.17,150 crore is being allocated for the Special Programme Implementation Department.

Youth Welfare and Sports Development

31. A vibrant sports culture serves as a powerful shield against social evils. To promote physical fitness, our Hon'ble Chief Minister himself ran

3 kilometre in the "**Start Run, Stop Drugs**" anti-drug run held at Marina Beach in Chennai, running shoulder to shoulder with thousands of youth to powerfully convey this message.

32. With the message "**Take Up Sports, Give Up Drugs**", this Government will launch an Integrated Youth Development Programme that will instil sporting discipline and civic responsibility among the younger generation instead of drug abuse. By integrating major youth organisations such as the National Cadet Corps (NCC) and the National Service Scheme (NSS) with the Health, Police and Social Welfare Departments, our Government will channelize the energy of the younger generation towards sports, community service and well-being. Through the vision of "**Sports for All, Sports Everywhere**," the campuses of our educational institutions will become safe and completely drug-free havens.

33. With the objective of winning gold medals at the Olympic Games, our Government is firmly committed to elevating Tamil Nadu to the pinnacle of the global sports arena. To nurture elite sporting talent, **10 Olympic Centres of Excellence** will be established across the State, with an allocation of Rs.50 crore. An allocation of Rs.5 crore is being made

to provide world-class training to select school students aged 8 to 18 who possess a passion and aptitude for sports. A further allocation of Rs.22 crore will provide financial assistance to 500 athletes excelling in national and international sporting events. To take traditional Tamil sports to the global stage, an allocation of Rs.42 crore is made to conduct the **Tamil Nadu Rural Sports Competition**, alongside an allocation of Rs.2 crore to upgrade the infrastructure of the Tamil Nadu Physical Education and Sports University.

34. True sports development rests on twin pillars: creating world-class champions, and fostering a culture of everyday health and fitness among our youth. Sports must begin right from our schools. Currently, Government and Government-aided schools allocate only two sports periods per week for each class. To change this, structured sports and physical exercise activities of one hour per day will be introduced after school hours, with the required sports equipment and facilities provided to all Government and Government-aided schools. This will strengthen students' physical fitness, cognitive development, teamwork and discipline, while also helping identify talent capable of achieving success at the state, national and international levels. Further, to bring

sports to the common people, Neighbourhood Sports Facilities, small gymnasiums and sports complexes will be created in all blocks and urban local bodies. By building decentralised sporting infrastructure within walking distance of every young citizen's home, we will build a healthy, active and disciplined generation.

35. In the Revised Budget Estimates, Rs.1,051 crore is being allocated for the Youth Welfare and Sports Development Department.

Social Justice

36. Our Hon'ble Chief Minister has always proclaimed that action, and action alone, is what matters, not just mere words. He has demonstrated this through the functioning of the Social Justice Department. A maximum of Rs.36 lakh per student is provided under the '**Annal Ambedkar Overseas Higher Education Scholarship Scheme**', for the benefit of students pursuing higher education in renowned international universities. In the current year, this scheme will benefit 362 students at an estimated cost of Rs.131 crore, the highest ever sanction provided under the scheme.

37. The '**Vetri Entrepreneur Scheme**' will be implemented to ensure sustainable development

and the upliftment of livelihoods among Adi Dravidar and Tribal people. Under this scheme, beneficiaries receive a capital subsidy and interest subvention on the total project cost. In the current financial year, an amount of Rs.75 crore has been allocated for this scheme.

38. Through the '**Annal Ambedkar Business Champions Scheme**', support through loans and capital subsidy is being provided to encourage entrepreneurship among Adi Dravidar and Tribal people, ensuring their economic development and self-sufficiency. An amount of Rs.165 crore is being allocated towards this scheme in the Revised Budget Estimates.

39. '**Mannin Magal Thittam**' will be implemented to make Adi Dravidar and Tribal women agricultural labourers into landowners. The scheme's beneficiaries will be trained in modern agricultural technologies to adopt advanced farming practices and improve productivity. In the Revised Budget Estimates, Rs.20 crore is allocated for this scheme.

40. The '**Iyothee Thass Pandithar Habitation Development Scheme**' will be implemented to ensure complete socio-economic

development in Adi Dravidar habitations, both urban and rural. This scheme focuses on comprehensively upgrading basic infrastructure in these habitations and improving the living standards of the people there. In the Revised Budget Estimates, Rs.300 crore is allocated for this scheme.

41. The '**Aandror Membattu Thittam**' scheme will be implemented to improve basic amenities in Tribal habitations, including houses, roads, drinking water, street lights, livelihood schemes, health infrastructure, education-related scholarship schemes, and school and hostel improvement works. Under this scheme, infrastructure in Tribal habitations will be upgraded with an allocation of Rs.250 crore in the current financial year.

42. Under the Special Components Plan for the Adi Dravidar, an allocation of Rs.25,225 crore has been made, while Rs.2,079 crore has been allocated under the Tribal Sub-Plan for the welfare of Tribal communities. In the Revised Budget Estimates, Rs.3,937 crore has been allocated to the Social Justice Department.

Backward Classes, Most Backward Classes, and De-notified Communities Welfare

43. Our Hon'ble Chief Minister is someone who has adopted Thanthai Periyar as his ideological leader. Our leader is not someone who deceives people in the name of social justice; rather he is someone who has embraced it from the bottom of his heart. That is why our Government, under his leadership, remains firmly committed to upholding social justice in Tamil Nadu, and is undertaking every possible effort to safeguard Tamil Nadu's 69 per cent reservation. To ensure that students of the Backward Classes, Most Backward Classes and De-notified Communities can pursue school and higher education without hindrance funds have been allocated in the Revised Budget Estimates; Rs.372 crore for pre-matric and post-matric educational scholarships, Rs.77 crore towards the tuition fees of students pursuing medicine and dentistry under the 7.5 per cent reservation, and Rs.13.41 crore as incentive to girl students to prevent dropout from education.

Minorities Welfare

44. As a **Secular Social Justice Government**, Tamil Nadu stands as a pioneering State in protecting the rights of minorities. This Government will continue to provide educational

scholarships to minority students. The subsidy of Rs.25,000 provided by the Tamil Nadu State Hajj Committee to first-time Hajj pilgrims will be increased to Rs.35,000. Additional Christian and Muslim Women Aid Societies will be formed with an allocation of Rs.1.05 crore, and a further Rs.34 crore will be allocated in the Revised Budget Estimates to improve the infrastructure of burial grounds and Kabarsthans. The Government under the leadership of our Hon'ble Chief Minister will never compromise on the protection and welfare of minorities.

45. In the Revised Budget Estimates, an amount of Rs.1,700 crore has been allocated for the Welfare of Backward Classes, Most Backward Classes, and Minorities Department.

Welfare of the Differently Abled

46. Our Hon'ble Chief Minister sincerely believes that differently abled persons are individuals of great ability. Based on this Government's principle of equality, "**All lives are equal by birth,**" Tamil Nadu stands as a pioneer among States in ensuring the rights, equality and social security of differently-abled persons.

47. Financial assistance of up to 50 per cent of the cost of equipment, or a maximum of Rs.30,000, will be provided for purchasing modern AI-based assistive devices, not covered under the existing assistive devices distribution scheme, such as sports prosthetic legs, myoelectric signal-operated upper limb prostheses, other high-end assistive devices and cochlear implant batteries.

48. Government institutions for persons with intellectual disabilities under the name '**Nambikkai Illam**', will be established in Thanjavur, Tiruvannamalai, Salem, Cuddalore and Virudhunagar districts. These institutions will provide special education, early intervention services, rehabilitation and vocational training to children aged 3 years and above. In the initial stage, each institution will function as a day school with 50 students, later being upgraded to include residential facilities. For this, an amount of Rs.4 crore is being allocated in the Revised Budget Estimates.

49. In the Revised Budget Estimates, Rs.1,485 crore has been allocated to the Department for the Welfare of Differently Abled Persons.

Social Welfare and Women Empowerment

50. Our Hon'ble Chief Minister always stands by every women in Tamil Nadu as their elder and younger brother. Marriage is one of the most joyous occasion in a woman's life. Our Hon'ble Chief Minister, who considers every women in Tamil Nadu as a member of his own family, will present an 8 gram gold coin and a silk saree as '**Annan's Seer**' to them on their joyous wedding day. An amount of Rs.812 crore is allocated for this scheme in the Revised Budget Estimates.

51. Through the Midday Meal Scheme, our ideological leader Perunthalaivar Kamarajar alleviated not only the physical hunger of students but also their appetite for education. Our Hon'ble Chief Minister, who holds deep and abiding affection for his student friends, has honoured the legacy of Perunthalaivar by naming the Chief Minister's Breakfast Scheme as the '**Perunthalaivar Kamarajar Breakfast Scheme**'. Hon'ble Chief Minister has expanded this scheme to cover students in Classes VI to VIII in Government and Government-aided schools. This scheme will be implemented from 17th of September, the birth anniversary of Thantai Periyar, benefitting an additional 15.14 lakh students across 15,414 schools.

An amount of Rs.710 crore is being allocated for this scheme in the Revised Budget Estimates.

52. This Government is committed to transforming Tamil Nadu into an elder-friendly State by ensuring a life of dignity, graceful ageing and comprehensive social security for senior citizens. Integrated senior citizen homes, fully equipped with essential amenities including qualified caregivers, medical personnel and recreational facilities will be expanded across all districts. In the first year, 12 such homes will be established across 12 districts, catering to 40 beneficiaries each, with an allocation of Rs.6.6 crore. In addition, senior citizen recreation centres featuring libraries, yoga and meditation facilities, and indoor sports will be set up in 5 districts in the initial phase, selected on the basis of senior citizen population.

53. Our Hon'ble Chief Minister heartily wishes to ensure that our children, the future generation, experience boundless joy and celebration in their lives. Affectionately known to children as "Vijay Mama," he remains constantly attentive to their well-being. To ensure the Anganwadi Centres they attend every day provide quality early childhood care and that children remain happy and healthy,

Government will construct 500 Anganwadi Centres in the current year ensuring the availability of essential basic amenities such as safe drinking water, toilets and electricity.

54. To support the transgender community in achieving socio-economic empowerment, skill training will be provided to them in various income-generating trades through Tamil Nadu Skill Development Corporation. Along with this, support through subsidy linked bank credit facilities will be provided to them towards establishing enterprises and securing sustainable livelihood. They will also be assisted in availing bank loans for self employment, with subsidy support of upto Rs.50,000. '**Aran**' shelter homes will be established in 5 districts to provide safe accommodation, food, counselling and rehabilitation support to transgender persons facing social and family-level challenges. Additionally, short-stay home facilities will be established in 15 districts to meet the needs of transgender persons travelling to other cities for education, employment, medical treatment, examinations and training programmes.

55. In the Revised Budget Estimates, Rs.9,818 crore is being allocated for the Social Welfare and Women's Empowerment Department.

Health and Family Welfare

56. Maternal and child healthcare is a core pillar of Tamil Nadu's public health system. As per the recent National Sample Registration System survey, Tamil Nadu's Infant Mortality Rate stands at 11 per 1,000 live births, amongst the lowest in the country, which has been made possible through the sustained implementation of public health schemes by the Government. As evidence of this, 99.9 per cent of deliveries in the State take place in hospitals, with over 53 per cent occurring in Government hospitals. To further increase deliveries in Government hospitals and thereby reduce the public's out-of-pocket healthcare expenditure, this Government will implement the '**Thai Maaman Thanga Mothiram Thittam**'. Under this scheme, every newborn delivered in a Government hospital will receive a 1-gram gold ring as a gift from their beloved Thai Mamman, the Hon'ble Chief Minister, commemorating the birth of the child and celebrating the joy and significance of motherhood. A sum of Rs.560 crore is provided in the Revised Budget Estimates for this scheme.

57. For senior citizens, 1,000 Mobile Geriatric Treatment Centres will be introduced in phases across Tamil Nadu. Each mobile centre will function with a

dedicated team of a doctor, a nurse and a physiotherapist, visiting every Village Panchayat in the State to conduct free health check-ups and provide medicines for chronic conditions. An amount of Rs.33 crore has been allocated for this scheme.

58. Maternity care and support centres under the name '**Thai Care**' will be established across the State for pregnant women, who can stay at these centres to receive care as their delivery date approaches and benefit from the facilities. Free meals, medical support and continuous health monitoring will be offered at these centres, with an allocation of Rs.23 crore.

59. To ensure access to specialised medical care for people in remote and rural areas, the Government will establish a **Telemedicine System** based on a 'Hub-and-Spoke' hospital model. Five hubs staffed by specialist doctors will be linked to 200 spokes at Primary Health Centres and Government hospitals through an online network. Over the next five years, this network will be progressively expanded to a total of 1,000 hubs and spokes. A sum of Rs.18.5 crore is allocated in the Revised Budget Estimates to establish this telemedicine network.

60. The Government will also establish a 'Hub-and-Spoke' medical system for cancer care, transforming the cancer care hospital into an institution of State importance and an advanced treatment centre. Five zonal cancer care hospitals will be established as primary points of contact for patients and will also undertake research and development activities in cancer care. A sum of Rs.10 crore is allocated in the Revised Budget Estimates for the preparation of a Detailed Project Report for this initiative.

61. Ensuring an uninterrupted supply of essential medicines is critical to the continuous treatment of NCD and cancer patients. With increased screening and early detection, the number of patients requiring regular treatment for hypertension, diabetes and cancer is steadily rising. To meet this rising demand and ensure uninterrupted medicine supply, the financial allocation for medicines has been increased by Rs.100 crore by the Government in the Revised Budget Estimates.

62. In the Revised Budget Estimates, Rs.23,357 crore is being allocated for the Health and Family Welfare Department.

Co-operation

63. In accordance with the Kural, "**They alone live who live by the plough**," our Government had announced the scheme to waive loans obtained by farmers through co-operative societies, with the objective of protecting farmers' livelihoods and reducing their debt burden. Under this scheme, a 100 per cent crop loan waiver was granted in full to farmers who had obtained crop loans of up to Rs.75,000 through co-operative societies, and a crop loan waiver of Rs.35,000 was granted to other farmers. The Hon'ble Chief Minister has ordered the waiver of agricultural loans amounting to Rs.5,932 crore, benefiting 14.43 lakh farmers, with this crop loan waiver being credited to the accounts of all eligible farmers. Beyond these measures, this Government, under the leadership of our Hon'ble Chief Minister, will remain steadfast in its commitment to the welfare of the farmers.

64. In the Revised Budget Estimates, Rs.8,028 crore is being allocated for the Co-operation Department.

Agriculture and Farmers' Welfare

65. The Southwest Monsoon did not bring normal rainfall this year due to weather

phenomenon, resulting in insufficient water storage at the Mettur Dam. As a result, the dam could not be opened for irrigation on the scheduled date of 12th June. Taking cognisance of this, **our Hon'ble Chief Minister sanctioned the 'Kuruwai Package Scheme' at a total outlay of Rs.134 crore**, to encourage paddy cultivation in both delta and non-delta districts and ensure no reduction in paddy production during the Kar, Kuruwai and Sornavari seasons. This scheme includes components such as mechanical paddy transplantation, direct seeding of paddy, seed production incentives, and the distribution of paddy seeds, liquid bio-fertilisers and micronutrient mixtures.

66. An amount of Rs.7,432 crore for electricity subsidy for farmers is being allocated in the Revised Budget Estimates. In the Revised Budget Estimates, Rs.14,984 crore has been allocated to the Agriculture and Farmers' Welfare Department

Animal Husbandry

67. The Animal Husbandry sector is an important component of the agricultural economy, promoting rural development, nutritional security and economic growth. In the current financial year,

under the '**Vetri Magalir Goat Rearing Scheme**', five goats or sheep will be provided with a 100 per cent subsidy to destitute widows, deserted women, transgender persons and persons with disabilities living in rural areas, benefiting about 30,000 eligible persons. An amount of Rs.110 crore is allocated for this in the Revised Budget Estimates.

68. A total of 41 new buildings required for veterinary hospitals will be constructed at an estimated cost of Rs.47 crore. To meet the medical treatment needs of livestock, 25 veterinary hospitals will be upgraded into veterinary polyclinics, and 210 veterinary dispensaries will be upgraded into veterinary hospitals, at an allocation of Rs.40 crore. Further, 143 new mobile veterinary units will be established at an estimated cost of Rs.35 crore.

69. This Government recognises that the loss of livestock to unforeseen mortality, disease or disaster causes great financial stress on farmers. To provide financial protection, this Government will introduce a new livestock insurance scheme named '**Kaalnadaigal Kaappom**'. A financial allocation of Rs.31 crore is made for the implementation of this scheme.

70. The cost of high-quality fodder is a significant part of the economics of livestock maintenance. With the objective of ensuring that farmers receive quality feed at a lower price, our Government will establish fodder seed banks and depots across the State at an estimated cost of Rs.6.70 crore. Further, an amount of Rs.13 crore is being allocated to promote green fodder cultivation, improve the use of chaffed fodder, and restore grazing lands through community participation. This Government's care and compassion extend even to voiceless living beings, unlike other governments that neglect even the needs of people.

Fisheries and Fishermen Welfare

71. After Puratchi Thalaivar, our Hon'ble Chief Minister is the only leader who has truly championed the cause of fishermen and held them close to heart. This Government continues to implement various welfare schemes to protect the livelihood of fishermen, taking focused action to develop the sector in every way, including providing relief during fishing lean and ban periods, subsidised diesel and kerosene, and essential and sustainable infrastructure such as fishing harbours, landing centres and fish farms, along with groynes and seawalls to prevent coastal erosion in fishing villages.

72. The State Government has been providing lean-period fishing assistance of Rs.6,000 per family to fishermen engaged in traditional fishing activity. This **Government will now increase this assistance from Rs.6,000 to Rs.7,000 per family, benefiting 1.93 lakh traditional fishermen families**, with an allocation of Rs.135 crore for this scheme.

73. To encourage traditional fishermen to take up deep-sea fishing, financial assistance in the form of an interest subsidy will be provided to those purchasing deep-sea fishing boats equipped with modern processing facilities. For this purpose, an amount of Rs.12 crore is allocated in the current financial year.

Dairy Development

74. Tamil Nadu holds a leading position at the national level in milk production and procurement. To further increase milk production and secure the livelihood of women living in rural areas, milch cows will be provided at no cost to 10,000 eligible women every year. For this, an amount of Rs.57 crore has been allocated in the Revised Budget Estimates.

75. In the Revised Budget Estimates, Rs.4,880 crore has been allocated to the Animal Husbandry, Dairying, Fisheries and Fishermen Welfare Department.

Industrial Development

76. The Government aims to drive Tamil Nadu's Gross State Domestic Product (GSDP) to a 1.5 Trillion US dollar economy by 2036, and is committed to building a friendly ecosystem that promotes industrial growth, attracts investment, and generates significant employment opportunities for the youth of the State. Since assuming office, our Government has signed seven Memoranda of Understanding (MoUs) worth Rs.35,062 crore, with the potential to create 14,790 direct and indirect employment opportunities.

77. To encourage large-scale investments and accelerate industrial growth in Tamil Nadu, this Government will strive to set up more **Multi Modal Logistics Parks (MMLPs) and Dry Ports** at strategic locations, and to establish petrochemical and ancillary industries. This Government will also explore the possibility of setting up new ports in Tamil Nadu.

78. Tamil Nadu, one of the leading States in industrial and economic growth, will release a

new Tamil Nadu Industrial Policy to further strengthen this position. This Policy will foster innovation and technology-driven growth, support emerging industry sectors, and drive sustainable development and export promotion. The Government will also create the **Tamil Nadu Industrial Capability Directory**, a comprehensive digital platform listing the State's manufacturing and supply capabilities, enabling investors to understand the depth of the local ecosystem.

79. To further enhance Tamil Nadu's competitiveness, the Government will introduce an Artificial Intelligence (AI)-powered investment service system called '**Guidance 3.0**', making all requisite information, clearances and services available seamlessly on a single platform for companies seeking to invest in Tamil Nadu. As a key component of this initiative, the '**Tamil Nadu Single Window Portal 3.0**' will be implemented in an upgraded form, enabling all statutory approvals, clearances and no-objection certificates required for establishing industries and investment projects to be obtained through a unified interface. This will make setting up of industries and investing in Tamil Nadu remarkably seamless, paving the way to

attract new investment and accelerate industrial growth.

80. The global Tamil diaspora, with its long-standing ties to Tamil Nadu, holds immense potential in talent, investment and entrepreneurship. To channel this goodwill into productive investment, a '**Non-Resident Tamil Investment Facilitation Desk**' will be established within Guidance, to facilitate and promote investment by the global Tamil diaspora in the State.

81. With the objective of ensuring balanced and equitable industrial development across all regions of Tamil Nadu, SIPCOT will establish new industrial parks in industrially backward districts, based on district-specific industrial development plans and each district's sectoral strengths. These parks will be developed with state-of-the-art infrastructure suited to investors' needs, at an estimated cost of approximately Rs.3,200 crore over the next five years.

82. Thoothukudi and Tirunelveli, in southern Tamil Nadu, will be declared as a '**Space Industrial Investment Zone**', anchored by the strategic significance of the spaceport at Kulasekarapattinam. This is expected to bring about a major leap in the

industrial growth of the southern region. To provide unparalleled infrastructure and technological support to private enterprises, startups and research organisations within this zone, the State Government, in collaboration with IN-SPACe, is establishing an advanced **'Space Vehicle Common Technical Facility'**.

83. India's first dedicated AI and Innovation city, named **'Arivagam'**, will be established for Artificial Intelligence and deep tech development, with facilities including an AI university, an international skill development centre, a semiconductor hardware testing lab, multi-domain innovation incubators and modern residential infrastructure. It will serve as a dedicated ecosystem bringing together AI companies, deep-tech startups, quantum technology ventures, enterprise capability centres, research institutions and Government AI initiatives, equipped with advanced compute infrastructure, specialised facilities, a skilled workforce, and a collaborative innovation environment. Feasibility study will be undertaken at an estimated cost of Rs.5 crore for this project.

84. In the Revised Budget Estimates, Rs.4,414 crore is being allocated for the Industries, Investment Promotion and Commerce Department.

Micro, Small and Medium Enterprises

85. Tamil Nadu ranks third at the national level, with 43.47 lakh registered Micro, Small and Medium Enterprises (MSMEs). Capital subsidies and interest subsidies are provided to new entrepreneurs under various schemes. In this financial year, an amount of Rs.225 crore is allocated under the Tamil Nadu Women Entrepreneurs Empowerment Scheme, and Rs.352 crore under the Capital Subsidy Scheme.

86. To promote environmentally sustainable steel production and mitigate the environmental impact of steel rolling mills, the '**Green Steel Production Initiative**' will be implemented at an estimated cost of Rs.300 crore over the next five years. In the Revised Budget Estimates, Rs.60 crore is allocated for this scheme.

87. In the Revised Budget Estimates, Rs.2,142 crore is being allocated for the Micro, Small and Medium Enterprises Department.

Handlooms, Handicrafts, Textiles and Khadi

88. Tamil Nadu is one of India's leading textile, apparel, handloom, handicraft and manufacturing hubs. Yet the State does not have a single dedicated institution integrating design education, innovation, research, product development and entrepreneurship development for the textile, apparel and handicrafts sectors. Artisan communities and talented students in rural areas across Tamil Nadu also face significant challenges in accessing premier national-level design institutions, owing to limited opportunities, financial constraints, and lack of access to specialised educational avenues. To bridge these gaps, with the active participation of industry and academia, the **'Tamil Nadu Institute of Design'** will be established as an institution of State importance. This institute will be established at an estimated cost of Rs.60 crore. A detailed project report for its establishment will be prepared.

89. Technical textiles is currently one of the emerging sectors, offering opportunities for innovation, value addition, exports, and high-skilled employment across fields including healthcare, automotive, construction, agriculture and defence. Although Tamil Nadu is one of India's leading textile-producing States, this sector's contribution to overall

textile production remains low, owing to limited awareness of technical textiles and challenges in accessing international expertise and advanced technologies. To bridge this gap, the Technical Textiles Transformation Scheme for Entrepreneurs will be implemented in collaboration with international educational and research institutions, with the financial assistance from Tami Nadu Technical Textiles Mission. Through this scheme, entrepreneurs, Micro, Small and Medium Enterprises (MSMEs), and textile manufacturers will receive international exposure, technical training, technology transfer, market intelligence, innovation support and business mentorship to facilitate their transition into the technical textiles sector.

90. The '**Tamil Nadu Palmyra Development Corporation**' will be established with an allocation of Rs.16 crore this financial year. This fund will support initiatives such as neera processing, palm jaggery production, and the export of value-added palm products, protecting the livelihood of farmers who cultivate Palmyra, the State Tree of Tamil Nadu.

91. Infrastructure facilities at Tiruppur will be upgraded in multiple phases to promote environmentally sustainable textile production.

For this purpose, the '**Tiruppur Textiles Technology Centre**' (TTTC) will be established with a financial outlay of Rs.10 crore.

92. In the Revised Budget Estimates, Rs.1,678 crore is being allocated for the Handlooms, Handicrafts, Textiles and Khadi Department.

Artificial Intelligence, Information Technology and Digital Services

93. Just as how the virtue of honesty and integrity is important for an individual, it is that important to be a technological power in our times. The Information Technology sector in Tamil Nadu continues to witness strong and consistent growth, generating IT exports worth more than Rs.2.5 lakh crore annually and providing employment to over 20 lakh persons, both directly and indirectly. This Government will undertake several initiatives to further promote and encourage the growth of this sector.

94. Artificial Intelligence (AI) is no longer a futuristic concept but a driving force improving the everyday lives of our citizens. To make administration faster, more transparent, more inclusive and more accessible, this Government is committed to using

Artificial Intelligence responsibly. The **Tamil Nadu Artificial Intelligence Mission (TN AI Mission)** will be strengthened to encompass emerging technologies such as Artificial Intelligence, Quantum Technology, Animation, Visual Effects, Gaming and Comics, and Extended Reality (AVGC-XR), with a specialised focus on AI applications in health, agriculture, education, citizen services, urban administration, social welfare administration, and other needy departments.

95. To ensure transparency and accountability in operations, and to deliver the services of various Government departments to the people online, the Government will upgrade all 'e-Sevai' centres to **e-Sevai 2.0 centres**, equipped with high-speed internet connectivity and additional public welfare services. The '**Namma Arasu**' WhatsApp Chatbot, which currently provides 76 services across 20 departments, will be expanded to include 275 public welfare services.

96. In the Revised Budget Estimates, an amount of Rs.398 crore has been allocated to the Artificial Intelligence, Information Technology and Digital Services Department.

Energy

97. The power sector will play a vital role in achieving the Government's vision of a 1.5 trillion dollar economy by the year 2036. This Government is committed to expediting the Udangudi Stage-I and Ennore SEZ Thermal Power Projects, which will together add 2,640 MW to Tamil Nadu's power generation capacity. The ETPS Expansion Project, valued at approximately Rs.8,000 crore, is being undertaken through the Public-Private Partnership (PPP) mode. The Vellimalai Pumped Storage Hydroelectric Project, valued at Rs.5,050 crore, will also be expedited. Recognising the importance of Battery Energy Storage Systems (BESS) in managing peak power demand, this Government will issue a **New BESS Promotion Policy** to facilitate private investment in this sector and transform Tamil Nadu into India's 'BESS Hub'.

98. The Government is actively implementing its energy strategy with a focus on renewable energy. A new **'Rooftop Solar Subsidy Scheme'** will be introduced in convergence with the 'Pradhan Mantri Surya Ghar Muft Bijli Yojana'. Under this scheme, a subsidy of up to Rs.1 lakh will be provided to domestic consumers for installing solar panels, significantly reducing their electricity bills and supporting the

transition to renewable energy. An amount of Rs.50 crore is allocated to implement this scheme. A system for installing **smart meters** will also be introduced for all consumers in Chennai city, as well as for 50 lakh industrial and commercial consumers across other parts of the State.

99. Tamil Nadu's peak power demand is projected to surpass 37,000 MW by 2035-36, requiring accelerated investment in power generation, transmission and distribution infrastructure. As a major initiative to strengthen the State's transmission network, the **Coimbatore-Ariyalur 765 KV Transmission Line Project** will be implemented through the PPP mode at an estimated cost of Rs.4,000 crore. Ultra-high voltage power transmission capacity in Chennai and its surrounding areas will also be strengthened, at an estimated cost of Rs.1,390 crore. **The Phase-II Green Energy Corridor Project**, valued at Rs.1,187 crore and crucial to evacuating renewable energy from southern Tamil Nadu, will be expedited alongside the **Virudhunagar-Coimbatore 765 KV Transmission Project**, valued at Rs.1,640 crore. The Government will also take steps to secure the financial assistance required for the third phase of the Green Energy

Corridor project, valued at Rs.6,884 crore, capable of handling 11,760 MW of renewable energy.

100. The Government will construct 178 new sub-stations at an investment of Rs.1,543 crore to strengthen the power distribution infrastructure. Further, 40,000 old transformers will be replaced in a phased manner at a cost of Rs.2,000 crore. To encourage the adoption of electric vehicles, 20,000 public EV charging stations will be established over the next five years under the PPP mode, with an allocation of Rs.50 crore in the current financial year. Government will extend subsidy to Resident Welfare Associations (RWAs) for installing electric vehicle charging stations in residential complexes, with an allocation of Rs.5 crore for this purpose.

101. In pursuance of the Hon'ble Chief Minister's announcement, an amount of Rs.1,545 crore is allocated in these Revised Budget Estimates to increase the free electricity entitlement from 100 units to 200 units, for domestic consumers with bi-monthly consumption of up to 500 units. For the subsidy provided to electricity consumers, ranging from domestic households to agricultural farmers, Rs.18,860 crore is allocated in these Revised Budget Estimates. An amount of Rs.5,000 crore is being

allocated as compensation to the Tamil Nadu Generation and Distribution Corporation. In these Revised Budget Estimates, an allocation of Rs.15,828 crore has been made for the Energy Department.

Housing and Urban Development

102. To guide the future growth of the Chennai Metropolitan Area, the Chennai Metropolitan Development Authority is preparing the Third Master Plan (2027-2046), covering an area of 1,189 sq.km. Given the rapid expansion of the Chennai Metropolitan Area, the Government will also prepare a Comprehensive Master Plan for the expanded Chennai Metropolitan Area, covering 5,904 square kilometres, serving as a roadmap for its long-term growth and transformation. This plan will be benchmarked against global best practices and internationally acclaimed metropolitan planning frameworks. The Government has sanctioned a sum of Rs.25 crore for the implementation of this scheme.

103. Planning permissions for plots and buildings in Tamil Nadu are currently granted at various levels by the Chennai Metropolitan Development Authority (CMDA), the Directorate of Town and Country Planning, and Rural and Urban Local

Bodies. An AI-enabled online planning approval system, **Single Platform for Efficient Expedited Development (SPEED)**, will now be introduced, integrating these agencies, including the CMDA, the Directorate of Town and Country Planning (DTCP), and local bodies, to provide planning permissions to the public across Tamil Nadu in a timely and transparent manner. An amount of Rs.40 crore is being allocated for this purpose.

104. The Government of Tamil Nadu is actively implementing targeted welfare schemes to improve the living conditions of the urban poor and address the pressures of rapid urbanisation. These include the construction of multi-storied tenements with basic and public infrastructure, individual houses under beneficiary-led approaches, and livelihood and development schemes. Under these initiatives, 24,131 multi-storied tenements currently at various stages of progress will be completed this year, and construction of a further 14,194 multi-storied tenements will commence during the year. An amount of Rs.1,253 crore has been allocated for this scheme.

105. Ensuring safe, dignified and quality housing for low-income families and young people remains a paramount priority of this Government.

To this end, the Tamil Nadu Urban Habitat Development Board is launching a pilot initiative in the Chennai Metropolitan Area titled the '**Metropolitan Youth and Family Housing Scheme' (MY-HOME)**, under which 1 lakh housing units will be developed over the next seven years. This project is expected to attract approximately Rs.15,000 crore in investment through Public-Private Partnership (PPP), supported by Rs.3,500 crore in Viability Gap Funding (VGF) through the Tamil Nadu Shelter Fund. By combining private investment with the Government's objectives and introducing a Digital Rental Voucher system, this scheme will make safe, dignified housing accessible to low-income families and youth at prices suited to their incomes, playing a crucial role in transforming the Chennai Metropolitan Area into a city offering equal opportunity, a high quality of life, and safe housing for all.

106. In the Revised Budget Estimates, Rs.8,852 crore is being allocated for the Housing and Urban Development Department.

Municipal Administration and Water Supply

107. The next chapter of the State's growth journey will begin in the urban areas of Tamil Nadu. I am pleased to announce the '**Chief Minister's**

Integrated Urban Development Mission', bringing under one roof urban infrastructure, water supply, underground sewerage systems, integrated solid waste management, city roads, urban transport, expansion of green spaces, protection of urban water bodies, social infrastructure, the safety of women and children, AI-driven e-governance, and a dedicated Urban Public Health Improvement Mission, with the objective of addressing gaps in urban infrastructure and delivering a visibly better quality of life to every citizen of our urban local bodies. By 2031, this Mission will reshape the urban landscape, character and functioning of Tamil Nadu's cities, positioning the State as a national role model in urban governance. An amount of Rs.2,117 crore has been allocated for this Mission in the current financial year.

108. The Greater Chennai Corporation serves 91 lakh people, ensuring the provision of basic facilities and creating infrastructure that improves the quality of life in the city. To improve urban transport, the Intelligent Transport Management System of Greater Chennai Corporation, developed in coordination with the Chennai City Police and the Metropolitan Transport Corporation, is in its final stage of implementation. A comprehensive street redesign and urban mobility project will also be implemented,

with key emphasis on pedestrian infrastructure, accessibility for all, and urban design enhancements, including smart parking management at 20 locations and the restructuring of roads in the Ambattur and Guindy industrial estates. To expand Chennai's green canopy and create people-centric public spaces, footpaths along major routes and residential zones will also undergo greening and beautification.

109. As part of the vision to transform Chennai into a sustainable and disaster-resilient city, blue-green infrastructure projects will be undertaken around water bodies across the city. The height of retaining walls is being raised and chain-link fences erected to expand their discharge capacity and mitigate urban flooding, protecting environmental resources while creating sustainable spaces for community use.

110. The **Ring Main Pipeline** system, connecting all major drinking water sources in Chennai with drinking water distribution stations, is being undertaken at an estimated cost of Rs.3,108 crore, and is expected to be completed within 2030-31. This project will secure a reliable, equitable, and round-the-clock drinking water supply across Chennai city. This is the most fundamental promise

every great city makes to its people: **clean drinking water, without exception, every single day.**

111. People-friendly streets will be developed in all municipal corporations, transforming them into modern urban thoroughfares with proper road connectivity, dedicated pedestrian pathways, separate cycling lanes, well-connected cross-streets, junction improvements, safe school access networks, and modern LED street lighting.

112. Our historic city of Chennai is one in which many of us were born and raised, a city that has embraced us and become an inseparable part of who we are. It grieves many of us that the Adyar and the Cooum, rivers that once met the drinking-water needs of the city, have today been reduced to little more than channels of sewage. Successive Governments that held office in the past squandered several hundred crores of the people's tax money in the name of cleansing and beautifying the Adyar and the Cooum, yet no meaningful change was ever brought in the condition of these rivers. The greatest and most ancient civilisations of the world, Harappa, Mohenjo-daro, the Inca, and Mesopotamia, all flourished upon the banks of great rivers. The Government led by our Hon'ble Chief Minister

will strive with the utmost resolve to restore the Cooum and the Adyar to their natural state. Rivers such as the Cheonggyecheon in Seoul and the Kallang in Singapore have, through river rejuvenation, become identities spoken of the world over. Global tenders will be invited and a Detailed Feasibility Report and Detailed Project Report will be prepared to transform the Cooum and the Adyar into the very identity of Chennai. The Government will ensure that the public can boat upon the Cooum and the Adyar, children can play in the waters, and people of every age can exercise along the riverbanks while breathing clean and unpolluted air.

113. In the Revised Budget Estimates, Rs.29,863 crore is being allocated for the Municipal Administration and Water Supply Department.

Highways

114. Road infrastructure is a key component of the State's transport system, and providing world-class, durable, safe and sustainable roads remains a priority for the Government. Under the **Comprehensive Road Infrastructure Development Programme**, a fund of Rs.9,300 crore has been allocated, covering the widening of state highways into four-lane roads, construction of bypass

roads, road safety works, pedestrian overbridges, upgrading of panchayat and panchayat union roads into other district roads, bridges, and the riding quality improvement programme.

115. The '**Safe Roads Mission**' will be introduced to strengthen road safety, focusing specifically on road design, construction and maintenance. The initiative will leverage AI for speed and traffic enforcement, alongside dedicated road patrols and advanced trauma care centres.

116. Roads in Tamil Nadu have deteriorated due to inadequate maintenance, resulting in potholes and uneven surfaces that makes travelling on those roads a challenge. To repair these roads, an allocation of Rs.250 crore is provided in the Revised Budget Estimates, under which inadequately maintained roads will be taken up under the '**Performance-Based Maintenance Contract**'. Members of the public may photograph and report any road defects through the '**Namma Salai**' mobile application, and such defects will be rectified promptly.

117. In the Revised Budget Estimates, Rs.21,524 crore is being allocated for the Highways and Minor Ports Department.

Transport

118. The Government recognises the need for modernisation of the fleet of the State Transport Undertakings of Tamil Nadu. With this objective, the government will operate electric buses under the Gross Cost Contract model. During the current financial year, 1,000 new air-conditioned electric buses will be procured for the Chennai Metropolitan Transport Corporation. A sum of Rs.500 crore has been allocated in the Revised Budget Estimates to provide electrical and mechanical fixtures for these buses at the bus depots.

119. A sum of Rs.7,675 crore has been provided in the Revised Budget Estimates as subsidy to the State Transport Undertakings, Rs.2,650 crore as performance gap funding, and Rs.1,005 crore as share capital assistance. In the Revised Budget Estimates, Rs.13,561 crore is being allocated for the Transport Department.

Metro Rail Projects

120. Construction of Phase-II of the Chennai Metro Rail Project, spanning 118.9 km across three corridors at an estimated completion cost of Rs.63,246 crore, is progressing in full swing. The first stretch of Phase-II, from Poonamallee Bypass to

Porur Junction, connecting to the existing Vadapalani metro station and spanning 14.64 km across 11 metro stations is scheduled to be commissioned for public use shortly.

121. The following Metro Rail projects, recommended by the Government, are under the active consideration of the Government of India:

- (i). Chennai Airport to Kilambakkam
- (ii). Koyambedu to Pattabiram via Avadi
- (iii). Poonamallee to Sunguvarchathiram via Sriperumbudur

The Government is pursuing all steps to obtain early approval from the Government of India for these additional Metro Rail lines. Government is also pursuing proposal for Metro rail from Hosur, Krishnagiri District to Bommasandra in Karnataka with both Government of India and Government of Karnataka.

Water Resources

122. The Government of Tamil Nadu will continue to safeguard the State's rightful share of inter-state river waters, its interests and rights in water sharing. Tamil Nadu Government will ensure timely Cauvery water releases in accordance

with established agreements, tribunal awards and judicial directions. Tamil Nadu's water rights will be protected through sustained legal, technical and administrative efforts, including opposition to projects that may affect the State's entitlements, such as the Mekedatu Project, and the State's interests in inter-state river water sharing will be fully safeguarded. The Government will also pursue the raising of the Mullai Periyar Dam water level, implementation of the Anaimalaiyar and Nallar dam projects, and the early execution of the Godavari-Cauvery River Link Project, to strengthen long-term water security and support farmers' welfare.

123. Water sources are the lifeline of agriculture, yet various river interlinking projects announced by previous Governments have progressed at a slow pace, affecting agricultural productivity growth. Recognising this, this Government will take steps to expedite such river interlinking initiatives. The Cauvery-Vaigai-Gundar River Linking Project, will commence in this year with an initial allocation of Rs.150 crore. Further, an allocation of Rs.50 crore has been provided for preparing Detailed Project Reports for the Pennaiyar-Cheyar, Pennaiyar-Palar, and Tamirabarani-Vaippar river linking projects.

Accordingly, a total allocation of Rs.200 crore has been made for the implementation and planning of these river-linking initiatives.

124. It is a matter of grave concern that the lifelines of Tamil Nadu, the great rivers of Cauvery, Vaigai and Tamiraparani, have been continuously polluted due to direct discharge of untreated industrial effluents, domestic sewage and dumping of solid waste on river banks, resulting in severe pollution in stretches passing through industrialised and urbanised areas. To restore the purity of these rivers, this Government will conduct detailed feasibility studies and prepare Detailed Project Reports covering the installation of sewerage and effluent treatment plants for liquid waste, comprehensive solid waste management in rural and urban areas along these rivers, riverfront development in urban areas and river surface cleaning. An amount of Rs.25 crore is being allocated for the preliminary and feasibility study for this project.

125. To ensure groundwater recharge, availability of fresh water for irrigation and conservation of water during the monsoon, this Government will conduct detailed feasibility study for the **Construction of Barrages across the River**

Cauvery, with an allocation of Rs.10 crore for the feasibility study and project report. An additional Rs.10 crore has been allocated for a feasibility study and project report for **Ecological Restoration of the Cauvery Delta region**.

126. In the Revised Budget Estimates, Rs.9,264 crore is being allocated for the Water Resources Department.

Environment, Climate Change and Forests

127. Mangrove forests protect coastlines from erosion, cyclones, sea-level rise and other coastal hazards, while conserving biodiversity, enhancing fisheries resources, sequestering carbon, and supporting the livelihoods of coastal communities. This project will be taken up at an estimated cost of Rs.40 crore to strengthen coastal ecosystems and to mitigate the impacts of climate change. Mangrove afforestation and restoration of degraded mangrove forests will be undertaken over 2,500 hectares in the districts of Cuddalore, Viluppuram, Chengalpattu, Mayiladuthurai, Nagapattinam, Tiruvarur, Thanjavur and Kanniyakumari, under the '**TN-SHORE**' project through the Green Tamil Nadu Mission. An amount of Rs.322 has been allocated for the implementation of TN Shore Project.

128. A comprehensive human-wildlife-conflict mitigation scheme will be introduced, incorporating scientific measures such as hanging solar fences and steel wire rope fencing, community-based protection of forests, appointment of forest protection staff, and GPS-enabled vehicles for conflict management, night patrolling, security and monitoring, across 100 conflict-prone villages in Coimbatore, Dharmapuri, Dindigul, Erode, Krishnagiri, The Nilgiris, Salem, Theni, Tirunelveli, Tenkasi and Tiruppur districts. An amount of Rs.20 crore has been allocated for this in the current financial year.

129. In the Revised Budget Estimates, Rs.1,762 crore is being allocated for the Environment, Climate Change, and Forests Department.

Rural Development

130. The Government envisions a rural Tamil Nadu with digitally empowered local bodies that build self-reliant and resilient communities, sustainable infrastructure that supports growth, and rising living standards that ultimately eradicate rural poverty to ensure a dignified livelihood for every family.

131. The foremost among the challenges prioritized by this Government is to ensure permanent

housing to homeless poor families in rural areas. Even though several housing schemes have been implemented by the State and Union Governments over the past thirty years, Tamil Nadu is yet to achieve hut-free status. Insufficient funding, inclusion and exclusion errors in beneficiary identification and scarcity of lands in rural areas remain key challenges in this sector. To gradually resolve this issue, the Government is launching a new State Housing Scheme named the '**Vetri Veedu Thittam**' exclusively for Kutcha Hut dwelling families.

132. Due to the lower unit cost fixed for houses, genuine and highly deserving poor households are being excluded from housing schemes. Only families capable of bearing the additional expenses are being selected. The Government has therefore decided to increase the unit cost from Rs.3.1 lakh to Rs.5 lakh for construction of Pucca houses to those living in Kutcha huts under this new scheme. In the first year, **70,000 houses will be sanctioned at an estimated cost of Rs.3,500 crore.** The Rural Development Department will conduct a fresh door-to-door survey to identify eligible households.

133. The Rural Development Department has implemented a wide range of schemes over the years,

but overlap between these schemes and the absence of a planned approach have limited their effectiveness. To address this, the Government is integrating all infrastructure schemes of the Department into a comprehensive scheme, the '**Tamil Nadu Village Empowerment, Transformation, Rejuvenation Initiative**' (TN-VETRI), which will include separate sub-missions for Water Supply, Solid Waste Management, Sanitation and Rural Connectivity.

134. To strengthen basic infrastructure in Peri-urban Panchayats surrounding urban areas, an exclusive sub-scheme under TN-VETRI will be implemented with an allocation of Rs.1,000 crore. A further sub-scheme, with an annual allocation of Rs.100 crore, will support the development of Hill Area Village Panchayats. Overall, TN-VETRI will be implemented with an annual financial allocation of Rs.6,000 crore, and will also converge with the needs and resources of other departments and Government of India schemes. A High-Level Committee, chaired by the Hon'ble Minister for Rural Development and Panchayat Raj, will oversee this coordination.

135. The new sharing pattern under the recently launched **Viksit Bharat - Guarantee for Rozgar and**

Ajeevika Mission (Gramin) scheme has placed a heavy strain on State finances, requiring an unprecedented 40 per cent State contribution to be accommodated within the State's resources. This Government has already urged the Government of India to reconsider this funding pattern. However, given that the rural poor rely heavily on the Mahatma Gandhi National Rural Employment Guarantee Scheme for their livelihoods, the Government has already announced the implementation of this scheme with **a total financial allocation of Rs.12,642 crore, including an unprecedented State contribution of Rs.5,057 crore.**

136. Further, to fulfil the Government's policy of providing 150 days of employment under the guaranteed rural employment scheme, the Government will implement an initiative named '**Vetri 150**', bearing an expenditure of Rs.100 crore per annum to provide an additional 25 days of employment to vulnerable and needy households who complete 125 days of employment, thereby ensuring 150 days of work for these households.

Women Self Help Groups

137. Self-Help Groups in Tamil Nadu have developed over the years and have achieved commendable status today. However, there is a need to take them to the next level of growth and transforming them into micro-enterprises. The Government will therefore launch a new scheme, the **'Singappenngal Valimaippaduthum Thittam'** under which an investment subsidy of Rs.5 lakh will be extended to every SHG enterprise that demonstrates sustainable entrepreneurial performance. Further this year, a target of Rs.38,000 crore has been fixed in the Annual Credit Plan for disbursement of loans to SHGs.

138. The existing system of sanctioning loans and subsidies to Self-Help Groups will be fully computerised, with an integrated co-audit feature ensuring seamless and timely transfer of funds to beneficiaries without delay.

139. In the Revised Budget Estimates, Rs.39,609 crore is being allocated for the Rural Development and Panchayat Raj Department.

Public Distribution System

140. This Government will expand delivery of essential commodities under the Public Distribution System to the doorstep of senior citizens, persons with disabilities, and vulnerable communities on a priority basis. A sum of Rs.7.18 crore is being allotted this financial year to implement this scheme.

141. To ensure that essential commodities distributed through the Public Distribution System reach beneficiaries in the prescribed quantity and quality, the Government will implement a pilot scheme this year for the supply of packaged wheat flour through the Public Distribution System. A sum of Rs.18 crore is being allotted for this pilot, which will be scaled up in due course.

142. A sum of Rs.14,000 crore has been allocated for food subsidies in the Revised Budget Estimates. In the Revised Budget Estimates, Rs.14,830 crore is being allocated for the Food and Consumer Protection Department.

Law and Order

143. This Government aims to build a society entirely free from crimes against women and children, and strictly adheres to a 'Zero Tolerance' policy

towards such crimes. In line with the Hon'ble Chief Minister's announcement, the '**Singapenn Special Task Force**' has been constituted to enhance women's security through women-centric policing, emergency response, and proactive crime prevention. An amount of Rs.354 crore has been allocated for the necessary police force, infrastructure, equipment, training, and operational requirements of this Task Force.

144. The Government is taking measures to prevent drug trafficking, strictly enforce the law, and raise public awareness. A total of 65 **Special Task force for Interdiction of Narcotics and Gangs (STING)** units have been formed to detect drug-related offences and take stringent action, with one unit allocated to each of the 37 districts and 28 units in urban areas. Beyond conducting financial investigations into drug trafficking, sale and misuse, these units will also take strict legal action, including the freezing of assets.

145. To ensure a drug-free Tamil Nadu, this Government will establish a '**Rehabilitation Fund**', with an allocation of Rs.70 crore, to be used primarily for rehabilitating individuals seeking help with de-addiction from drugs and substance abuse.

146. A new '**Road Safety Policy**' will be formulated, focusing on five key pillars: institutional framework, road design and engineering, traffic law enforcement, emergency trauma care, and education. An amount of Rs.200 crore has been allocated under the Hon'ble Chief Minister of Tamil Nadu Accident Relief Fund Scheme in the Revised Budget Estimates, along with a further Rs.130 crore under the Road Safety Fund for road safety works during 2026-27.

147. Adequate residential quarters for police personnel are essential to the effective management of law and order and crime control. An amount of Rs.431 crore is allocated for the construction of such quarters in the districts, benefiting 5,000 police families.

148. In the Revised Budget Estimates, Rs.17,290 crore is being allocated for the Home, Prohibition and Excise Department.

Empowering Governance

149. Governance is at its best when decisions are made promptly, transparently, and with unwavering integrity. Over the past three months, Honourable Chief Minister has taken resolute steps to clean, corruption free transparent administration.

Government will take further steps to advance to the next critical phase: empowering our public servants with modern tools such as AI in governance to enhance productivity and deliver seamless public services.

150. First, dismantling unnecessary centralization through the delegation of powers to the subordinates. By eliminating arbitrary bottlenecks that once bred corruption, we ensure citizens receive their rightful approvals without delay or harassment. Second, digital workflows are being streamlined. To ensure accountability, a Quality Assurance Audit Board backed by AI will continuously monitor file flows and decision quality, eliminating unjust rejections and backlogs. Finally, we will turn technology into an ally for our employees. By integrating AI, Agentic workflows, and Speech-to-Text capabilities (Prompt), employees will get automated assistance for routine tasks such as drafting, summarizing rules, and documentation, reducing the drudgery of manual processing, and freeing our officers to focus on informed, impactful decision-making.

151. Our goal is simple; a corruption-free, transparent, clean and highly efficient administration where technology serves the public servant, and the

public servant serves the people in delivering services digitally, transparently in a time bound manner. To transform public service delivery and streamline administrative workflows, a Governance Processes Reforms Committee will be constituted under the chairmanship of Chief Secretary. Bringing together senior administrative leaders, industry transformation experts, and academic system designers, the Committee will re-engineer bureaucratic processes, eliminate redundant compliance, and build a modern, technology-enabled, citizen friendly (G2C) and business friendly (G2B) governance ecosystem in the State.

152. To ensure vacancies are filled on time, honestly and transparently, an annual recruitment planner will be published by all recruitment agencies. Transparency in promotions and transfers will be ensured through the Integrated Financial and Human Resources Management System (IFHRMS). A Right to Services Act will also be framed and passed, to ensure that services reach every citizen, as a legal right, in a timely manner.

Revenue and Disaster Management Department

153. A revolving fund will be created with an allocation of Rs.50 crores raised through corporate

social responsibility funds via an integrated end-to-end online portal, to provide funds required by field officers for rescue, relief and rapid response during disasters. This will ensure that disasters are managed effectively and applications processed expeditiously.

154. Due to Super El Nino weather phenomenon, rainfall during the southwest monsoon in June and July has been below normal. During this prevailing dry spell, it is essential to strengthen drinking water sources and stock fodder for cattle at the block level. Taking this into consideration, our Hon'ble Chief Minister has ordered the allocation of Rs.340 crore from the State Disaster Management Fund to ensure that daily lives of the public are not affected.

155. In the Revised Budget Estimates, Rs.5,462 crore is being allocated for Social Security Schemes and Rs.11,532 crore is being allocated for the Revenue and Disaster Management Department.

Commercial Tax and Registration

156. This Government firmly believes in a fair, transparent and trust-based administration of the Goods and Services Tax, recognising honest taxpayers as true partners in the State's development. To further

ease their compliance burden, Commercial Taxes Department is transitioning to a service-oriented, technology-driven, faceless approach powered by non-intrusive verification. While remaining committed to supporting and simplifying compliance for honest taxpayers, firm, intelligence-led action will be strictly reserved for wilful evaders alone.

157. Recognising the vital role of the Registration Department as the public record office, our Government is undertaking landmark reforms to ensure seamless, convenient and hassle-free registration of documents. By prioritising digital innovation and civic convenience, the Government is committed to making property registration effortless and corruption-free, with the protection of innocent property buyers from fraudulent registrations being a top priority. Necessary amendments to Act and Rules, aligned with Supreme Court rulings and best practices across leading States, will be enacted to this end. '**Anywhere Registration**' will be a cornerstone of this reform, allowing citizens to register documents from the convenience of their homes. In a phased manner, the Registration Department will transition to a completely paperless and presence-less registration mode, using advanced

digital authentication without compromising the legal security or authenticity of any transaction.

158. In the Revised Budget Estimates, Rs.651 crore is being allocated for the Commercial Taxes Department and Rs.475 crore is being allocated for the Stamps and Registration Department.

Natural Resources

159. This Government will take all necessary steps to prevent illegal mining and quarrying in the State and ensure that revenues due to the Government are collected without any leakage. In the last 3 months, since this Government was formed, 1,307 vehicles have been seized for illicit mineral smuggling, and 1,161 First Information Reports have been filed. In a special drive against illicit mining, 431 quarries were inspected and violations were detected in 155 cases and action is being taken against these quarries as per law. A special task force has also been formed to inspect crushing units and stockyards across the State, and check posts have been established in border areas.

160. To further strengthen mineral management in the State, an end-to-end mineral management system with real-time monitoring of mineral

production and movement will be established. This technology-driven, transparent and integrated framework will ensure sustainable extraction of the State's mineral wealth and optimisation of revenue while preventing illegal mining. District-level vigilance and enforcement wings will also be established to strengthen surveillance and prevent illegal mining. An amount of Rs.3 crore has been provided in the Revised Budget Estimates for 2026-27 to implement this scheme.

161. Granite polishing and design centres will be established in Pudukkottai and Perambalur districts to develop the granite industry in the region. A Detailed Project Report will be prepared during the current financial year. In the Revised Budget Estimates, Rs.438 crore is being allocated for the Natural Resources Department.

Welfare of Government Employees

162. Government has launched the New Health Insurance Scheme, 2026 for Government Employees and their eligible family members, and Pensioners (including spouses) and Family Pensioners, for a period of five years from 01.07.2026 to 30.06.2031. Under the new scheme, the basic sum insured has been enhanced from Rs.5 lakh to Rs.7.50 lakh, and

coverage for specified illnesses has been enhanced from Rs.10 lakh to Rs.12 lakh. The Corpus Fund for rare and specified illnesses has also been enhanced from Rs.10 lakh to Rs.15 lakh for employees. The Scheme covers 2,992 medical procedures and 46 specified illness procedures, through a network of 1,535 empanelled hospitals and Government Medical Institutions. This Government, committed to the welfare of Government employees, has allocated Rs.838 crore to implement this insurance scheme. In the Revised Budget Estimates, Rs.47,240 crore is being allocated for Pensions and Other Retirement Benefits.

Administration of Justice

163. The judiciary plays an indispensable role in upholding the rule of law and ensuring the timely delivery of justice. Recognising the need for modern court infrastructure to serve the public, our Government will revive the proposal for establishing an Integrated Court Complex at Broadway, Chennai, combining 160 courts, at an estimated cost of Rs.1,375 crore. A sum of Rs.10 crore is being allocated for undertaking the preliminary steps for this project. In the Revised Budget Estimates, Rs.2,486 crore is being allocated for the Administration of Justice Department.

Tourism

164. Tamil Nadu's rich heritage, vibrant culture, and diverse landscapes make tourism a vital driver of economic growth, employment generation, and local empowerment. Investing in tourism strengthens local livelihoods, preserves our cultural identity, and accelerates state wide infrastructure development.

165. To ensure a reliable, long-term financing mechanism for scaling up tourism infrastructure, this Government proposes to create a dedicated Sustainable Tourism Development Fund. A Bill to establish this statutory fund will be introduced in the present Assembly session to enable seamless mobilization of resources, catalyze private investments, and secure sustained funding for future tourism initiatives across the State.

166. Under our vision to elevate iconic landmarks to international standards, the Government will comprehensively develop Mahabalipuram into a global tourism destination. To realize this vision, we are submitting a detailed proposal to the Government of India under its scheme for iconic destination development to secure a central grant of Rs.200 crore. This strategic investment will upgrade world-class

visitor amenities, enhance connectivity, and cement Tamil Nadu's position on the global tourism map.

167. To promote river tourism across Tamil Nadu, an allocation of Rs.53 crore is being made to develop key riverfronts across three major rivers: along the Kaveri River from Hogenakkal to Srirangam, along the Vaigai River in Madurai, and along the Thamirabarani River from Papanasam to Tirunelveli. Additionally, to popularize the rich culinary and artistic heritage of our state, this Government will implement a project to highlight local food tourism routes through dedicated Food and Arts Festivals, supported by an allocation of Rs.20 crore.

168. Demonstrating our commitment to social welfare and spiritual tourism, senior citizens will be enabled to visit their chosen holy pilgrimage sites every year with fully sponsored air-conditioned travel, comfortable lodging, and quality meals, funded by an allocation of Rs.20 crore in Tamil Nadu. Furthermore, to cater to the growing influx of devotees, modern rest houses will be established at Thirukkadaiyur, Nagore, and Velankanni at an estimated cost of Rs.60 crore, ensuring safe and comfortable accommodation for all pilgrims

169. Government will launch '**Tamil Nadu Eco-Tourism Mission**' to develop and expand nature-based tourism circuits and destinations, including trekking routes, wildlife safaris, birding and boating trails, eco-friendly stays, and interpretation and visitor centres. This Mission will be implemented across the State's diverse landscapes, including forest and wildlife areas, through active community participation, enhancing livelihood opportunities for local and tribal communities while contributing to forest conservation and fostering nature awareness among the public. An amount of Rs.25 crore has been allocated for this scheme.

Art & Culture

170. Tamil heritage and cultural sites along the East Coast Road will be upgraded to showcase and preserve the unique history and rich heritage of Tamil people. An amount of Rs.5 crore is being allocated for the preparation of Detailed Project Report in the Revised Budget Estimates 2026-27.

171. This Government will introduce a '**Folk Artists Livelihood Protection Scheme**', under which 200 best-performing art troupes registered with the Folk Artists Welfare Board will be selected each year, providing them opportunities to perform for

100 days. A sum of Rs.23 crore is being allocated for this scheme. In the Revised Budget Estimates, Rs.775 crore is being allocated for the Tourism, Art and Culture Department.

Tamil Development

172. Our Government remains steadfast in its commitment to preserving Tamil heritage, and encouraging young talent. To foster early appreciation of classical literature, Government is instituting an incentive award of Rs.5,000 each for 500 primary school students (up to Class 5) who memorize and recite 300 Thirukkural couplets. Government is also enhancing financial support for Tamil scholars and organizing state-wide essay and elocution competitions for college students to commemorate the sacrifices of our Tamil language martyrs.

173. Furthermore, to honour the legendary legacy of Quaid-e-Millat, a new award celebrating his deep love for the Tamil language will be presented annually on Thiruvalluvar Thirunaal.

174. Further, through the Tamil Virtual Academy, a **Tamil Large Language Model (Tamil LLM)** will be developed, AI-based language

technology tools will be deployed for official Government communications, and, in collaboration with leading universities, a dedicated Artificial Intelligence model for Tamil will be developed.

175. Tamil Nadu has world-renowned archaeological sites and a cultural history and urban civilisation spanning thousands of years. With the objective of ensuring that students acquire both academic and field knowledge, school students will be taken on visits to the archaeological and heritage sites across Tamil Nadu — including Keeladi, Adichanallur, Kodumanal, Mayiladumparai, Sivakalai, Alagankulam, Arikamedu, Saluvankuppam, and Kaveripattinam — promoting experiential learning and strengthening their understanding of the State's ancient history, civilisation and cultural heritage. For this purpose, the Government allocates Rs.One crore to organise educational tours for school students to archaeological sites and institutions of higher education.

Hindu Religious and Charitable Endowments Department

176. Over the next five years, this Government plans to undertake renovation works and perform Thirukudamuzhukku (Consecration) at 3,000 temples, restore 250 temple tanks, and repair 75 wooden

temple cars. The Government also plans to upgrade basic amenities at temples receiving large numbers of devotees, providing safe drinking water, restrooms, bathrooms, accommodation and other essential infrastructure. Recognising the need to appoint Trustees to temples, this Government, immediately after assuming office, issued notifications for the appointment of Trustees to 9,205 temples within a short span, and action is underway to complete these appointments. With a budgetary allocation of Rs.418 crore, restoration and conservation works are also being carried out at 213 temples that are over a thousand years old. Alongside various structural reforms in the Department, the Government is paying focused attention to safeguarding the movable and immovable properties of temples. In the Revised Budget Estimates, Rs.708 crore is being allocated for the Hindu Religious and Charitable Endowments Department.

PART B**Finances of the State Government**

Hon'ble Speaker,

177. In my speech so far, I have highlighted the major Schemes of this Government.

178. Finally, I must state that this Government had presented the White paper on States finances last month on 16th June, 2026, clearly and faithfully bringing out the real fiscal position of the State and the financial distress that has resulted out of poor administration and leakages in the revenue collecting departments and undertaking expenditures culminating in very high borrowing by State Government and its parastatal companies, namely, TNEB's successor companies, TNCSC and State Transport Undertakings. The State has been borrowing without reference to what the revenues can sustain. While there is nothing wrong in borrowing for investing in human and physical capital in the State that act as drivers of economic and social growth, this needs to be accompanied by

corresponding efforts in mobilisation of resources that could cover borrowings. Previous government failed to see this simple fact.

179. It let the revenue earning departments to uncontrollably bleed, while letting a good share of public money in works to be extracted out by unscrupulous middlemen. Since, the formation of our Government under the leadership of the Hon'ble Chief Minister of Tamil Nadu, we have made continuous efforts to plug leakages in both revenue and expenditure side, enabling the State Government to create at least Rs.1,500 crore on the revenue side so far, and we expect large fiscal space creation on the expenditure side, due to savings in the cost of procurement of goods and services.

180. I must also reiterate what I said during my presentation of the White Paper that this Government under the visionary leadership of our Honourable Chief Minister, believes that the welfare schemes such as scholarships and free education to students, subsidies to our entrepreneurs to commence business and

manufacturing, PDS subsidies, free housing for the poor, etc are not largesse, but are investments in human and social capital that drives consumption and growth in the economy in the long run. In fact, this Government is continuing most of the schemes for public welfare that has been in existence for the last three decades and plans to expand them further. However, a calibrated balance between welfare scheme investments in human capital and investments in physical capital and infrastructure is necessary. These however require resources and fiscal space, and without sustained effort by the Government in this regard, it is impossible to sustain welfare schemes.

181. As I have already mentioned earlier, this Government has already taken action towards mobilization of nearly Rs.15,000 crore through various measures and has also constituted a high level Revenue Augmentation Committee under the chairman ship of renowned economist Thiru. Montek Singh Ahluwalia. We will also constitute a similar high level Expenditure Reforms Committee to advise the State Government on rationalising

expenditure by enhancing the productivity of the service delivery apparatus of the State and reviewing all welfare schemes by evaluating their positive impact on the target beneficiary groups and ensuring that all people who need State intervention truly benefit. I must clarify here that the scope of the Committee would not be restricted to reducing expenditure, but to rationalising them, which would also include expanding welfare schemes that have good positive externalities and benefits to the society and the State in the long run.

182. The fiscal position of the State is in the red, and we have been handed a treasury box that is overburdened with debt and sub optimal income with leaking holes. The repair has been started, but would need at least two years to bring the financial administration back to the track of fiscal prudence. Under the leadership of our Honourable Chief Minister, we have been successful in all our previous ventures in political landscape, and we will attain "**Vetri**" in this venture also. Tamil Nadu will emerge as a State that has fiscally prudent governance for balanced and inclusive economic

growth. Unlike the previous government, which focussed only on short term political gains with the belief that they should make best use of their five year term, our Government believes that we need to look forward to at least 15 years of sustained growth through consistent policies and providing clean and efficient governance.

183. In the Revised Budget Estimates (RBE) 2026–27, SOTR is estimated at Rs.2,26,740 crore, compared to the Interim Budget Estimates (IBE) 2026–27 projection of Rs.2,29,579 crore. This allocation includes Rs.1,56,176 crore for Commercial Taxes, Rs.35,109 crore for Stamps and Registration, Rs.14,861 crore for Motor Vehicle Taxes, and Rs.14,164 crore for State Excise. Aligning with the observations in the White Paper on Fiscal Management regarding past over-estimations, projections have been recalibrated downward in the Revised Budget Estimates. State's Own Tax Revenue is projected to expand at a growth rate of 9.78 per cent in 2026–27 over the Revised Estimates (RE) of 2025–26.

184. The State's Own Non-Tax Revenue is estimated at Rs.27,704 crore in Interim Budget Estimates, as compared to Rs.26,265 crore in the Revised Estimates 2025-26. In the Revised Budget Estimates 2026-27, the State's Own Non-Tax Revenue is estimated at Rs.27,835 crore. In sum, the State's Own Revenues are estimated at Rs.2,54,575 crore, which constitutes 72.73 per cent of the Total Revenue Receipts in the Revised Budget Estimates 2026-27.

185. The Grants-in-aid receivable from the Union Government were estimated at Rs.24,762 crore in Interim Budget Estimates 2026-27. The Union Government has introduced a new scheme, 'Viksit Bharat-Guarantee for Rozgar and Ajeevika Mission (Gramin) in place of the Mahatma Gandhi National Rural Employment Guarantee Scheme. An amount of Rs.7,586 crore has been provided under this scheme with a 60:40 sharing pattern. Furthermore, a sum of Rs.3,461 crore that is due to be released to Tamil Nadu under the Mahatma Gandhi National Rural Employment Guarantee Scheme has also been included in the Revised Budget Estimates for the

year 2026-27. Now in Revised Budget Estimate Grants-in-aid from Centre is estimated at Rs.32,922 crore.

186. The share in central taxes was estimated at Rs.56,819 crore in the Revised Estimates 2025-26. The same was estimated at Rs.62,531 crore in the Interim Budget Estimates 2026-27, based on the Union Government's allocation in their Budget. The same is retained in Revised Budget Estimate 2026-27.

187. In aggregate, the Total Revenue Receipts projected to be Rs.3,09,698 crore in the Revised Estimates 2025-26 and projected at Rs.3,44,575 crore in the Interim Budget Estimates 2026-27, has now been estimated at Rs.3,50,027 crore in the Revised Budget Estimates 2026-27. This is Rs.5,452 crore increase over the Interim Budget Estimates.

188. On the expenditure front, Total Revenue Expenditure is revised upward to Rs.4,05,802 crore in Revised Budget Estimates 2026-27 from Rs.3,93,272 crore in Interim Budget

Estimates 2026–27. This increase is attributable to mandatory outlays for new flagship commitments, agricultural crop loan waivers, 200 units of free electricity, and the Thaimaaman Thanga Mothiram scheme.

189. The overall Capital Expenditure in the Interim Budget Estimates 2026-27 projected at Rs.59,562 crore, is estimated at Rs.56,985 crore in the Revised Budget Estimates 2026-27. The total capital outlay of the State including Net Loans and Advances is estimated at Rs.66,060 crore in the Revised Budget Estimates 2026-27.

190. The Revenue Deficit in the Interim Budget Estimates 2026-27 was Rs.48,696 crore. It is pertinent to note that this is an underestimate particularly by means of over estimation of Revenue Receipts and lesser estimate of Revenue Expenditure. Hence, the Revenue Deficit is estimated to increase to Rs.55,775 crore in Revised Budget Estimates 2026-27.

191. The Fiscal Deficit in Revised Budget Estimates 2026-27 is estimated at Rs.1,21,819 crore as against Rs.1,21,949 crore in Interim Budget Estimates 2026-27. The Fiscal Deficit is within the targets fixed under Tamil Nadu Fiscal Responsibility Act 2003.

192. The Overall Outstanding liability of the State is estimated to be Rs.10,98,768 crore in the Revised Budget Estimates 2026-27 as against Rs.10,99,458 crore in the Interim Budget Estimates 2026-27. The outstanding liability includes Public Debt and the Public Account Liability of the State. It may be noted that the Public Debt includes an amount of Rs.9,523 crore which should reflect in the accounts of the Union Government after the approval of Chennai Metro Rail Phase – II project as a Central Sector Project. As and when the necessary book adjustments are made by the Government of India, the public Debt will reduce to that extent.

193. The Outstanding Debt., that is, the overall liability to GSDP ratio in Revised Budget Estimates 2026-27 is estimated at 27.01 per cent

as compared to 27.03 per cent in the Interim Budget Estimates 2026-27.

Hon'ble Speaker Sir,

194. This Government will take firm steps towards achieving growth in revenue by sealing the leakages in tax collection, increasing the collection efficiency and through taking revenue augmentation measures. The Government will strive to receive the optimum level of Grants in aid receivable from the Union Government eligible to the State. Through these measures, the Revenue and Fiscal Deficit are expected to decrease in the forthcoming years. This will consequently lead to boosting of Capital Expenditure and achieving the desirable growth.

195. Tamil Nadu possesses the economic strength, the institutional depth, and the human resources to restore its fiscal health. This Government is working on accurate understanding of the fiscal issues and is resolved to address it through disciplined revenue mobilisation, prudent expenditure management, and clean, corruption-free governance.

196. I wish to convey my gratitude and appreciation to Thiru M.A. Siddique, IAS, Additional Chief Secretary, Finance Department, and to all officials of the Finance Department who worked tirelessly in preparing this Revised Budget.

197. I once again express my heartfelt thanks to the Hon'ble Chief Minister for his invaluable guidance and counsel in shaping this Revised Budget.

198. Hon'ble Speaker Sir, I request you to obtain the approval of this august House to the Revised Budget for the year 2026-27.

வாழ்க தமிழ்!

வெல்க தமிழ்நாடு!

Dr.N.Marie Wilson
Minister for Finance,
Planning and Development

Chennai,
05th August 2026,
Aadi-20
Thiruvalluvar Aandu 2057.

APPENDIX

MEDIUM TERM FISCAL PLAN

The State Government is required to place a Medium Term Fiscal Plan (MTFP) before the Legislative Assembly along with the Budget in accordance with Section 3(1) of the Tamil Nadu Fiscal Responsibility Act, 2003 (TNFRA). As per Section 3(2) of the said Act, the MTFP shall set forth a multi-year rolling target for the prescribed fiscal indicators like Revenue Deficit, Fiscal Deficit and Debt to GSDP ratio, specifying the underlying assumptions made to arrive at those projections. Complying with the said provisions under the Tamil Nadu Fiscal Responsibility Act, 2003, a Medium-Term Fiscal Plan for the period from 2026-27 to 2028-29 is hereby placed before the Legislative Assembly.

I.Revenue Receipts

The Total Revenue Receipts of the State Government, including the Grants in Aid and Transfers from Union Government are estimated to be Rs.3,50,027 crore in the Revised Budget

Estimates 2026-27 as against the Interim Budget Estimates of Rs.3,44,575 crore in 2026-27. The projections for 2027-28 is estimated to be Rs.3,95,386 crore and for 2028-29 is Rs.4,46,803 crore, which indicates a growth of 12.95 per cent and 13.00 per cent respectively. The important components are discussed below:

1. State's Own Tax Revenue

The State's Own Tax Revenue (SOTR) was estimated to be Rs.2,29,579 crore in the Interim Budget Estimates 2026-27. It is estimated to decrease to Rs.2,26,740 crore in the Revised Budget Estimates 2026-27. This erosion is not due to any structural weakness in the economy but due to administrative decline and systemic leakages across Commercial Taxes, State Excise, Stamps and Registration and Mining. Accordingly, the RBE has seen a decrease of Rs.2839 crore over IBE. Anticipating plugging of leakages in liquor retail vending, mining, registration, revenue augmentation and better administration, the projection of SOTR is Rs.2,58,483 crore in 2027-28 and Rs.2,94,671 crore in 2028-29. The growth

rates of State's Own Tax Revenue are estimated to be 14 per cent in 2027-28 and 2028-29.

2. Non-Tax Revenue

The State's Own Non-Tax Revenue is estimated at Rs.27,835 crore in the Revised Budget Estimates for 2026-27 which is a marginal increase over the Interim Budget Estimates of Rs.27,704 crore. The State's Non-Tax Revenue is projected at Rs.30,062 crore in 2027-28 and Rs.32,467 crore in 2028-29, reflecting a growth of 8 per cent annually.

3. Share in Central Taxes

Tamil Nadu's share in Central Taxes is estimated at Rs.62,531 crore in Revised Budget Estimates 2026-27 as estimated in the Interim Budget Estimates. This is based on the estimates in the Union Budget 2026-27. The share in Central Taxes is projected to be Rs.71,285 crore in 2027-28 and Rs.81,265 crore in 2028-29 by assuming a growth rate of 14 percent annually.

4. Grants-in-Aid from the Union Government

The Grants-in-aid from the Union Government is estimated at Rs.32,922 crore in Revised Budget Estimates 2026-27. This has been increased from the estimates in the Interim Budget Estimates 2026-27 of Rs.24,762 crore anticipating release from the Union Government for the newly introduced Viksit Bharat-Guarantee for Rozgar and Ajeevika Mission (Gramin) Scheme and the arrear grants-in-aid due to be released to Tamil Nadu under the erstwhile Mahatma Gandhi National Rural Employment Guarantee Scheme. For 2027-28, Rs.35,555 crore and for 2028-29, Grants-in-aid are projected at Rs.38,400 crore, by assuming a growth rate of 8 per cent annually.

II. Revenue Expenditure

The Revenue expenditure is estimated at Rs.4,05,802 crore in Revised Budget Estimates 2026-27, which shows an increase of 3.19 per cent over Interim Budget Estimates 2026-27. The Revenue expenditure is projected to be

Rs.4,49,319 crore in 2027-28 and Rs.4,97,860 crore in 2028-29.

The important components are discussed below:

- The expenditure on account of Salaries is a committed expenditure. In the Revised Budget Estimates 2026-27, Salaries has been fixed at Rs.91,032 crore as compared to Rs.94,378 crore in the Interim Budget Estimates 2026-2027. On the basis of anticipated new recruitments, the projected expenditure on Salaries is Rs.1,01,046 crore in the year 2027-28 and Rs.1,12,161 crore in 2028-29.
- The expenditure on account of committed expenditure on Pensions and Retirement benefits is estimated to be Rs.41,846 crore in the Revised Budget Estimates 2026-27. Considering the trends in retirement, the expenditure under Pension and Retirement benefits is projected at Rs.46,030 crore in 2027-28 and Rs.50,633 crore in 2028-29.

- The Non-wage Operations and Maintenance is estimated to be Rs.19,698 crore in the Revised Budget Estimates 2026-27. This expenditure is projected at Rs.21,274 crore in 2027-28 and Rs.22,976 crore in 2028-29, reflecting a growth of 8 per cent.
- The expenditure on account of Subsidies and Transfers is estimated to be Rs.1,74,494 crore in the Revised Budget Estimates 2026-27. The expenditure under Subsidies and Transfers is projected at Rs.1,91,219 crore in 2027-28 and Rs.2,09,780 crore in 2028-29.
- The interest payments for public debt raised in the previous years are a committed liability of the Government and continue to increase every year. The expenditure on account of interest payments is estimated at Rs.78,683 crore in the Revised Budget Estimates 2026-27. This expenditure is projected at

Rs.89,698 crore in 2027-28 and
Rs.1,02,256 crore in 2028-29.

III.Capital Account

In the Revised Budget Estimates 2026-27, an amount of Rs.56,985 crore is allocated for Capital Expenditure. As the new Government is expected to spend more for capital expenditure, the capital expenditure is projected to be Rs.68,382 crore in 2027-28 and Rs.83,426 crore in 2028-29. This shows the commitment of the State to constantly improve the allocation for growth-oriented expenditure while maintaining fiscal discipline. The net loans and advances are estimated at Rs.9,075 crore in the Revised Budget Estimates 2026-27. This is projected to increase to Rs.10,891 crore in 2027-28 and to Rs.13,287 crore in 2028-29.

IV.Revenue Deficit and Fiscal Deficit

The Revenue Deficit in the Revised Budget Estimates for 2026-27 is estimated at Rs.55,775 crore. On the strength of the revenue augmentation measures, including improved tax

administration and collection efficiency, it is expected to narrow to Rs.53,933 crore in 2027-28 and further to Rs.51,058 crore in 2028-29, thereby creating additional space for capital expenditure in the State.

In the Revised Budget Estimates for 2026-27, the Fiscal Deficit is estimated to be 3.00 per cent of GSDP. In the forthcoming years, Fiscal Deficit to GSDP ratio is projected to be 2.87 per cent in 2027-28. In 2028-29, it is estimated to be further reduced to 2.80 per cent. The Fiscal Deficit of the Medium Term will be maintained within the targets fixed under Tamil Nadu Fiscal Responsibility Act 2003.

V. Public Debt and Liabilities

The estimates for receipt and repayment of borrowings have been finalized on the basis of overall borrowing ceiling fixed by the Government of India. The Government plans to avail a total loan amount of Rs.1,73,445 crore during 2026-27 and make repayment of Rs.51,971 crore. Liabilities under the Public Account are also reckoned along with the Public Debt. Net increase in Public Debt

and Liability is estimated at Rs.1,20,964 crore in Revised Budget Estimates as compared to the net increase of Rs.1,21,653 crore estimated in Interim Budget 2026-27. As a result, the outstanding liabilities as on 31st March 2027 will be Rs.10,98,768 crore, amounting to 27.01 per cent of GSDP in 2026-27. However, the Public Debt includes an amount of Rs.9,523 crore which should reflect in the accounts of the Union Government after the approval of Chennai Metro Rail Phase – II project as a Central Sector Project. As and when the necessary book adjustments are made by the Government of India, the Public Debt will reduce to that extent. The ratio of Liability to GSDP is expected to ease further to 26.57 per cent in 2027-28 and 26.10 per cent in 2028-29. The State thus aims to preserve debt sustainability as part of its fiscal consolidation roadmap.

VI. Guarantees

The outstanding guarantees for each year have to be restricted at a level of 100 per cent of the Total Revenue Receipts in the preceding year or 10 per cent of the GSDP, whichever is lower. The outstanding guarantees as on 31st March, 2026

were 63.57 per cent of Total Revenue Receipts in the preceding year and 5.04 per cent of GSDP.

The outstanding risk weighted guarantees for each year have to be kept at a level of 75 per cent of the Total Revenue Receipts of the preceding year or 7.5 per cent of GSDP, whichever is lower. The outstanding risk weighted guarantees as on 31st March, 2026 stood at 23.46 per cent of Total Revenue Receipts of the preceding year and 1.86 per cent of GSDP.

Conclusion

While the State Treasury faces inherited debt pressures and administrative shortcomings, this Medium-Term Fiscal Plan charts a decisive, forward-looking roadmap to restore fiscal balance and institutional strength over the next three years. Guided by the high-level Revenue Augmentation and Expenditure Reforms Committees, the State is executing a structured framework to systematically eliminate revenue leakages, optimize expenditure, and enhance service delivery. Crucially, this medium-term strategy not only aligns immediate fiscal

consolidation, but also envisages growth to overcome the deficit in the next 2 years with the help of clean, transparent, and better governance.

With sustainable revenue capacities, and rationalization of expenditure, the public liabilities will be realigned. Driven by deep institutional strength, a vibrant industrial landscape, and exceptional human resources, this strategic roadmap bridges structural repair with enduring economic health—positioning Tamil Nadu as a benchmark for prudent, inclusive, and sustained economic growth.
